"Independent analysis using public NERC data"

Dashboard | Insights

Insights & Recommendations

Executive Summary

Between January 2017 and March 2024, Nigeria's 11 DisCos billed ₦6.95 trillion but collected only ₦4.77 trillion, a collection efficiency of 68.65% that left ₦2.18 trillion uncollected. Revenue nearly tripled, from ₦0.37 trillion in 2017 to ₦1.07 trillion in 2023, yet only 47.90% of the 12.33 million customers are metered. DisCos with higher metering consistently collect more (correlation 0.79), and this link has grown stronger each year. Closing the metering gap is the clearest route to reducing revenue leakage.

Year

All

DisCo

All

Region

All

Quarter

1 | 3

2 | 4

Clear all slicers

Key Insights

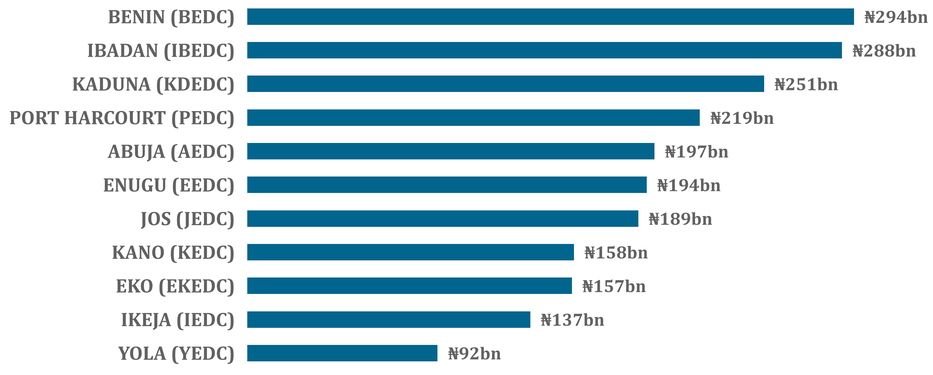
1. ₦2.18 trillion went uncollected. DisCos billed ₦6.95T but collected only ₦4.77T, a collection efficiency of 68.65%.
2. Metering drives collection. DisCos with more metered customers collect more of what they bill (correlation 0.79). Ikeja leads on both (80.7% metered, 87.1% collected), while Yola and Kaduna trail.
3. The link is getting stronger. The correlation rose from 0.25 in 2017 to 0.79 in 2022 and 0.87 in Q1 2024, so meters matter more every year.
4. Over half of customers are unmetered. Only 47.90% of 12.33 million customers are metered, leaving 6.43 million on estimated billing.
5. The South West leads and the North lags. The South West collects 79.21% of billings, against 48.74% in the North East and 52.60% in the North West.
6. Revenue is growing. Collections rose every year from ₦0.37T in 2017 to ₦1.07T in 2023. 2024 covers Q1 only.

Recommendations

1. Prioritise meters in the North. Yola, Kaduna, Kano and Jos are all below 35% metered. Meter all new connections so growth stops adding unmetered customers.
2. Target the biggest revenue leakages. Focus debt recovery on Benin, Ibadan and Kaduna, which hold the most uncollected billings, and expand digital payment channels.
3. Pair metering with revenue assurance. Port Harcourt is 68% metered but collects only 58%, so meters alone are not enough without strong billing follow-up.
4. Replicate the leaders. Use Ikeja and Eko as benchmarks for underperforming DisCos through peer reviews and regional performance targets.
5. Monitor monthly KPIs. Track collection efficiency, metering rate, uncollected billings and new connections metered, by DisCo and region.

Uncollected Billings by DisCo

Benin, Ibadan and Kaduna account for ₦833bn (38%) of the ₦2.18 trillion uncollected



Metering Rate by Region

South West (56.3%) and South South (56.1%) lead; North East trails at just 15.5%

